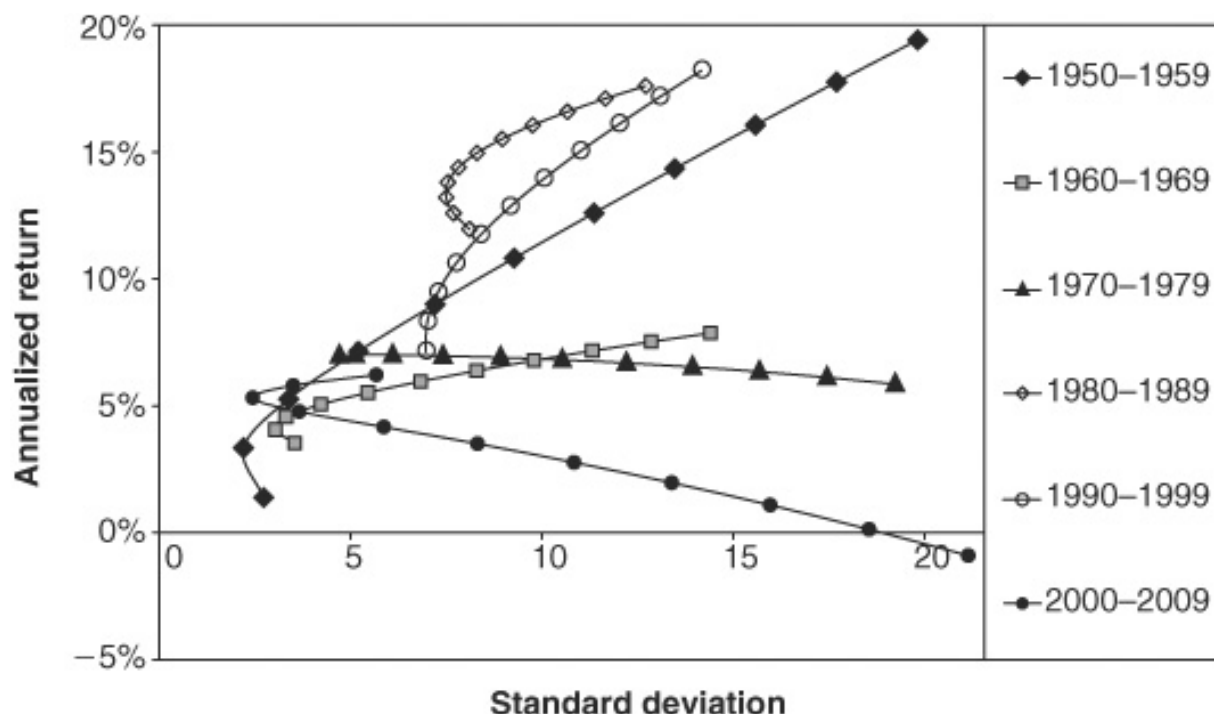


The efficient frontier for each decade starts on the left side with the risk and return of intermediate-term Treasury notes and ends at the right side with the risk and return of the S&P 500. In four out of six periods, the efficient frontier is upward sloping, meaning that the return on the S&P 500 was greater than the return on intermediate-term Treasury notes. During the 1970–1979 and 2000–2009 periods, the return on the S&P 500 was less than the return on intermediate-term Treasury notes.

FIGURE 3-10

Diversification Benefit over the Decades, Intermediate-Term T-Notes and S&P 500



[Table 3-4](#) crystallizes the connection between correlation and MPT gains in return from annual rebalancing. During the periods when the correlation between stocks and intermediate-term Treasury notes was highly negative, the portfolio risk reduction was also high as was the increase in portfolio return resulting from rebalancing. Two periods that exemplify this phenomenon are 1950–1959 and 2000–2009. In contrast, the period with the highest positive correlation was 1990–1999. This period also had the lowest risk reduction benefit and the lowest benefit from rebalancing, although those benefits still existed.